PROTECTIONISM AND MERCANTILISM

Adam Smith's encouragement of free trade and competition was at odds with the dominant economic theories of his time. Most thinkers supported some form of protectionism—an economic policy in which a government imposes high trade tariffs in order to protect its industry from competition. In Europe at the time this took the form of mercantilism, which held that to be strong, a country must increase its exports and do everything possible to decrease its imports, as exports brought money into a country, while imports enriched foreign merchants. This theory led to strict governmental trade controls—the Navigation Acts forbade trade between Britain and its colonies in anything other than British ships.

Mercantilism began to go out of fashion in the late 18th century under the pressure of new ideas about economic specialization put forward by Adam Smith and David Ricardo.

> **"By pursuing his own interests, he frequently promotes that of the society more effectually than when he really intends to promote it"**
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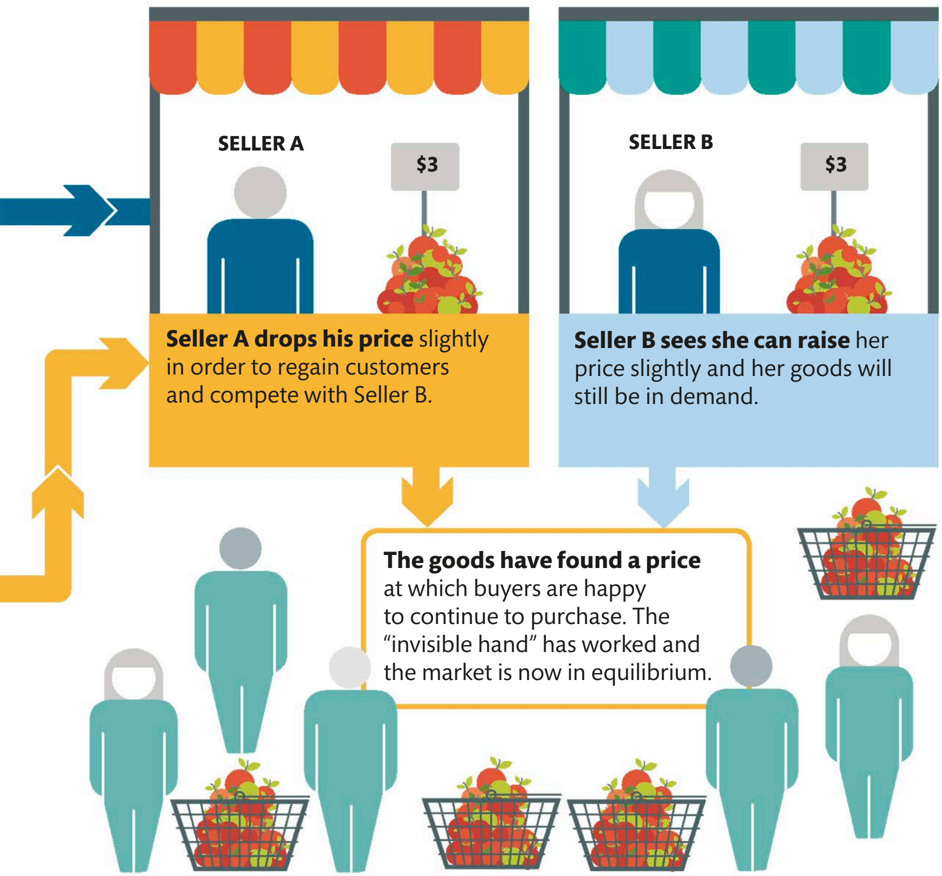
> **Adam Smith,** *The Wealth of Nations* **(1776)**



NEED TO KNOW

- **Market equlibrium** When the amount of certain goods demanded by buyers matches the amount supplied by sellers—the point at which all parties are satisfied with a good's price.
- **Laissez-faire** An economic theory that holds that the market will produce the best solutions in the absence of government interference. Trade, prices, and wages do not need to be regulated, as the market itself will correct imbalances in them.
- **Comparative advantage** The idea that countries should specialize in those goods they can produce at the lowest cost. By avoiding producing goods in which they do not have a comparative advantage, countries will become more efficient and therefore better off.